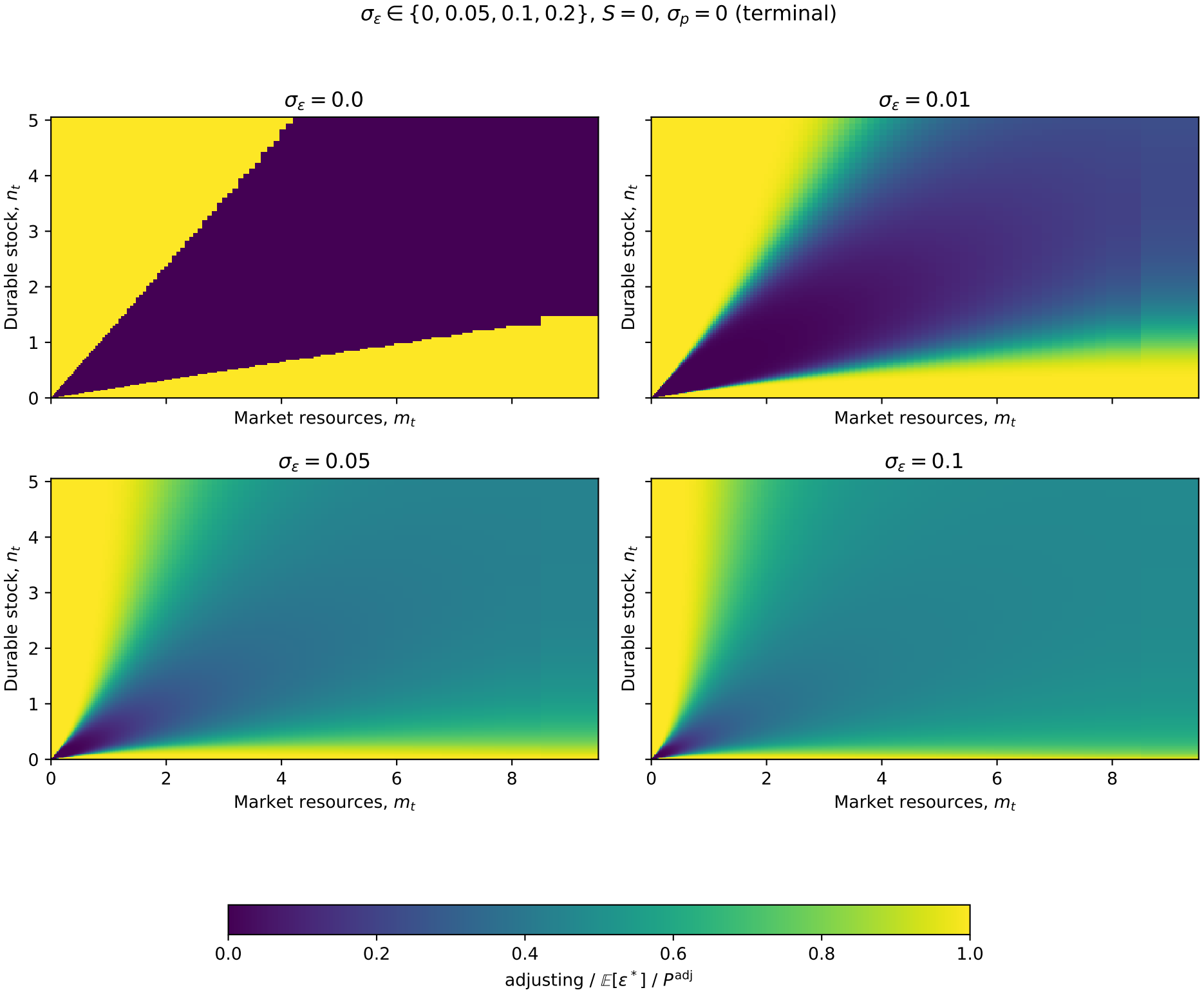

$\sigma_\varepsilon \in \{0, 0.05, 0.1, 0.2\}$, $S = 0$, $\sigma_p = 0$ (terminal)
$\sigma_\varepsilon = 0.0$
$\sigma_\varepsilon = 0.01$
$\sigma_\varepsilon = 0.05$
$\sigma_\varepsilon = 0.1$
Durable stock, n_t
Market resources, m_t
0
1
2
3
4
5
0
2
4
6
8
0.0
0.2
0.4
0.6
0.8
1.0
adjusting / $\mathbb{E}[\varepsilon^*]$ / P^{adj}